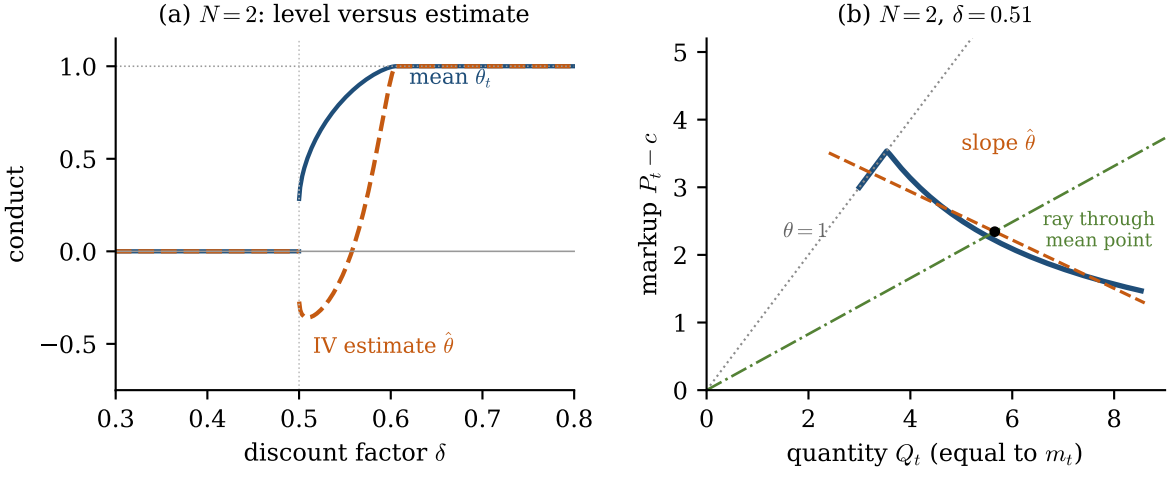
(a) $N = 2$: level versus estimate
conduct
1.0
0.5
0.0
−0.5
mean θ_t
IV estimate $\hat{\theta}$
0.3
0.4
0.5
0.6
0.7
0.8
discount factor δ
(b) $N = 2$, $\delta = 0.51$
markup $P_t - c$
5
4
3
2
1
0
slope $\hat{\theta}$
$\theta = 1$
ray through
mean point
0
2
4
6
8
quantity Q_t (equal to m_t)